

Fraud in an Audit of Financial Statements

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IAASB Meeting

December 5-9, 2022

Agenda Item 5

Agenda: Selected Topics on Fraud and Stakeholder Engagement

Fraud and Suspected Fraud

Transparency in the Auditor's Report on Fraud

Updated Drafting

Stakeholder Engagement

- ❖ IFAC's SMPAG Letter
- ❖ International Organization of Securities Commissions' Committee 1, Auditing Sub-Committee
- ❖ General Outreach Program

Fraud and Suspected Fraud



Matters for IAASB Consideration

Fraud and Suspected Fraud

Relevant paragraphs
in **Agenda Item 5-B:**
4C-4CA and
A5Aa,A28J-A28K,
A33A-A33B

1. The Board is asked for its views on the scenarios, including whether there are other circumstances the Task Force should consider when enhancing the requirements and application material to address the auditor's response to fraud or suspected fraud identified by the auditor. See paragraphs 14 and 15.
2. The Board is asked for its views on the proposed additional audit procedures ("steps") that the auditor will be required to perform in all instances when fraud or suspected fraud is identified by the auditor. The Task Force is also interested if the Board believes other audit procedures should be performed. See paragraph 16.
3. The Board is requested to provide feedback on the possible actions that auditor may consider when determining the implications for the audit engagement as a whole, including whether the auditor should be considering other actions. See paragraph 17.

Transparency in the Auditor's Report on Fraud



- Enhanced description of the auditor's responsibilities with respect to fraud
- Description of the identified and assessed fraud risks and the auditor's response
 - Using a mechanism similar to KAM
 - Including a filter to only communicate the most significant fraud risks
- Explore how to communicate identified significant deficiencies in internal control that are relevant to the prevention and detection of fraud

Transparency in the Auditor's Report on Fraud

- Proposed mechanism to report fraud risks is similar to Key Audit Matters (KAM)
 - Filter: RoMM due to fraud that required most significant auditor attention
- Holistic consideration of changes to the auditor's report
 - Fraud, Going Concern, Listed Entity and Public Interest Entity
 - Task Force discussed several options where to place identified fraud risks and the auditor's response in the auditor's report
 - Preferred option is to integrate the identified frauds risks and the auditor's response in the KAM section
- Requirement to communicate significant deficiencies in internal control that are relevant to the prevention and detection of fraud
 - For deficiencies that relate only to the fraud matter disclosed in the auditor's report
 - Further discussions warranted by Task Force

Matters for IAASB Consideration

Transparency in the Auditor's Report on Fraud

Relevant paragraphs
in **Agenda Item 5-B**:
39A-39F and
A58A-A58G

4. The Board is asked for its views on the proposed way forward on transparency in the auditor's report. In particular:
 - (a) The mechanism the Task Force is proposing as a filter to determine the identified fraud risks to be communicated in the auditor's report. See paragraphs 23 and 25.
 - (b) The Task Force's proposals for communicating identified fraud risks and the auditor's response in the auditor's report. See paragraphs 26 and 35.
 - (c) The Task Force's proposals to address the issue of identified significant deficiencies in internal control that are relevant to the prevention and detection of fraud in the financial statements. See paragraphs 36 and 38.
 - (d) The indicative drafting as presented in **Agenda Item 5-B**.

Matters for IAASB Consideration

Updated Drafting (1 of 2)

5. The Board is asked for its views on proposed ISA 240 (Revised) as set out in **Agenda Item 5-B**. The Board is requested to provide comments on the requirements and the related application material at the same time.

Section	Paragraphs
Introduction	1-9A, A1A-A7A
Engagement Resources	16A, A12A-A12E
Ongoing Nature of Communications with Management and Those Charged with Governance	16B, A12F-A12G
Risk Assessment Procedures and Related Activities	17-24, A12K-A23C

Matters for IAASB Consideration

Updated Drafting (2 of 2)

5. The Board is asked for its views on proposed ISA 240 (Revised) as set out in **Agenda Item 5-B**. The Board is requested to provide comments on the requirements and the related application material at the same time.

Section	Paragraphs
Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control (Part 1)	24B-24C, A23Da-A24L
Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control (Part 2)	24D-24G, A25A-A27A
Identifying and Assessing the Risks of Material Misstatement due to Fraud, including Presumption of the Risks of Material Misstatement due to Fraud in Revenue Recognition	25-28B, A28A-A33
Material Misstatements Due to Fraud	34E-34H, A49J-A49N

Way Forward

Discussions with the Board on selected sections of proposed ISA 240 (Revised)

December 2022

Expected approval of exposure draft

September 2023

March 2023 and June 2023

Discussions with the Board on proposed ISA 240 (Revised)

March 2025

Expected approval of final revised standard

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